

B. Individual Versus Derivative Actions for Injury to Corporation

"Claims for injury or damage to a corporation or its property belong to the corporation, not its stockholders, who have no standing to sue for such wrongs. {Citation omitted.}" (*NNN Capital Fund I, LLC, supra*, 119 Cal. App. 5th at 1212 [quoting *Jones v. H.F. Ahmanson & Co.* (1969) 1 Cal.3d 93, 107].) When the gravamen of the claim alleged is one of injury to the corporation, the corporation has to maintain the suit for remedial action, or a shareholder may bring a derivative action on behalf of the corporation if appropriate. (*NNN Capital Fund I, LLC, supra*, 119 Cal.App.5th at 1212; *Nelson v. Anderson* (1999) 72 Cal. App. 4th 111, 127.) These standing rules, and the requirement of pursuing a shareholder derivative action in order for an individual shareholder to pursue claims for injury to the corporation applies even when the corporation has only two shareholders. (*Nelson, supra*, 72 Cal.App.4th at 127 ["Whether there is one minority shareholder or many, an action is individual only if the stock of the individual plaintiff or plaintiffs is the only stock affected adversely. [Citation omitted.].] Here, the corporation lost earnings, profits, and opportunities, rendering all the shares valueless. When the injury is to the 'whole body of stock,' the action must be derivative. [Citation omitted.].") The Court notes that in January 2025, plaintiff in the main action in this case filed a first amended complaint adding derivative claims related to Rocksteady Brewing Company, naming Rocksteady as a nominal defendant on those claims.

Cross-complainant Strong alleges, in summary, that she was the co-owner, CEO and manager of Rocksteady Brewing Company, a California corporation. (FACC ¶ 1.) She alleges in the fourth cause of action that defendant Mendez and others converted the assets of Rocksteady Brewing Company, because he allegedly "wrongfully took possession of Rocksteady Brewing Company's assets, equipment, goodwill, and use of its liquor license without Strong's consent." (FACC PDF p. 4 [4th C/A, emphasis added].)

The Court requests that cross-complainant include in her supplemental opposition to the demurrer briefing addressing whether she has standing to pursue her claim for conversion as alleged in the fourth cause of action of the FACC. Mendez may address any arguments by Strong in her supplemental opposition on the fourth cause of action, but Mendez is not required to file any supplemental reply.

Supplemental Briefing Dates

Strong's supplemental opposition addressing the two issues above shall be filed **by August 31, 2026**. Any supplemental reply Mendez elects to file shall be filed **by September 8, 2026**. The hearing is continued **to September 21, 2026**.

15. 9:00 AM CASE NUMBER: N25-1849
CASE NAME: GARY DARTEZ VS. CITY OF ANTIOCH RENT PROGRAM
HEARING ON DEMURRER TO: RE FIRST AMENDED PETITION
FILED BY: REDWOOD PROPERTY INVESTORS III, LLC
TENTATIVE RULING:

Redwood Property Investors III, LLC ("Redwood") is named as the "Real Party in Interest" in the operative Verified First Amended Petition filed on February 25, 2026 (the "Amended Petition") by petitioners Gary Dartez and Tamisha Latimor ("Petitioners"). Redwood filed a Demurrer on April 1, 2026 to the Amended

Petition (the “Demurrer”). Redwood also filed a Motion to Strike the Amended Petition on April 1, 2026 to (the “Motion to Strike”). The Demurrer and the Motion to Strike were initially set for hearing on August 10, 2026.

By a later scheduling order, the Demurrer and the Motion to Strike were reset for hearing on August 17, 2026 and a briefing schedule was set. See Order entered June 11, 2026. A July 23, 2026 deadline was set for any opposition to the Demurrer and the Motion to Strike. *Id.*

Background and Analysis

No opposition was filed. Redwood filed a Notice of Non-Opposition on July 29, 2026. The Requests for Judicial Notice filed April 1, 2026 is GRANTED.

Both motions are fundamentally based on the same core defect—that Redwood is not a proper party to this writ proceeding and no proper cause of action has or could be pled against Redwood because it is not an administrative or public agency.

Although there are references to Redwood throughout the Amended Petition, none of the causes of action are pled against it. See Amended Petition, ¶161 *et seq.* Indeed, the pleading makes clear that Plaintiffs do not allege causes of action as against Redwood in this action. Amended Petition, ¶14 (“Petitioners do not seek adjudication in this writ proceeding of separate tort damages, statutory damages, civil-rights damages, punitive damages, accounting relief, conversion relief, or other non-writ merits claims against Redwood Property Investors III, LLC...”).

No basis has been shown by Plaintiffs to maintain the Amended Petition as against Redwood.

Disposition

The Court finds and orders as follows:

1. The Demurrer and the Motion to Strike are GRANTED. Leave to amend is DENIED.
2. The Court shall issue the order after hearing.

16. 9:00 AM CASE NUMBER: N25-1849
CASE NAME: GARY DARTEZ VS. CITY OF ANTIOCH RENT PROGRAM
***HEARING ON MOTION IN RE: STRIKE PETITIONERS' FIRST AMENDED PETITION**
FILED BY: REDWOOD PROPERTY INVESTORS III, LLC
TENTATIVE RULING:

See LINE 15 above.

17. 9:00 AM CASE NUMBER: N26-0602
CASE NAME: PETITION OF:RAHBAN ALGAZZALI
HEARING IN RE: PETITION TO COMPEL ARBITRATION
FILED BY:
TENTATIVE RULING:

The Petition of Abdo AlGazzali and Ali Abdulraman (“Petitioners”) to compel arbitration of claims against Mihne, Inc. (“Respondent”) is **CONTINUED** by the Court to October 5, 2026 at 9:00 a.m. in Department 34.